

Designing a Pricing Engine for a Quality-First Q-Commerce Model

Automating price decisions without breaking customer trust

FIRSTCLUB



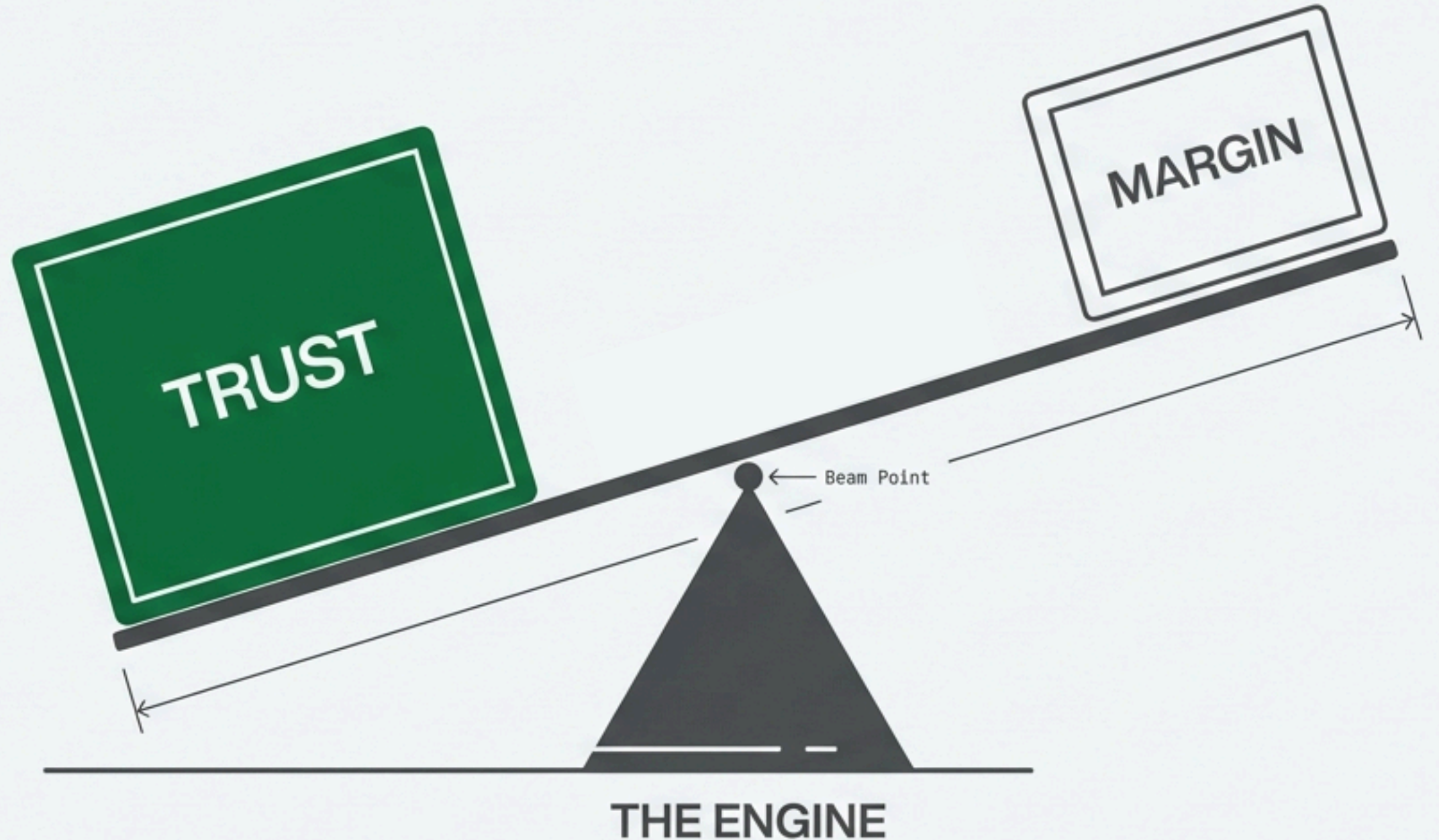
Pricing at FirstClub is a **trust** problem first, and a **margin** problem second

FirstClub's value proposition is built on explicit quality and curation—customers buy peace of mind, not just groceries.

High price volatility and aggressive algorithmic discounting erode brand memory and signal "distress," damaging that trust.

Therefore, we cannot use static spreadsheets, but we also cannot use black-box volatility.

Pricing automation must prioritize predictability and explainability, solving for margin only after satisfying brand guardrails.



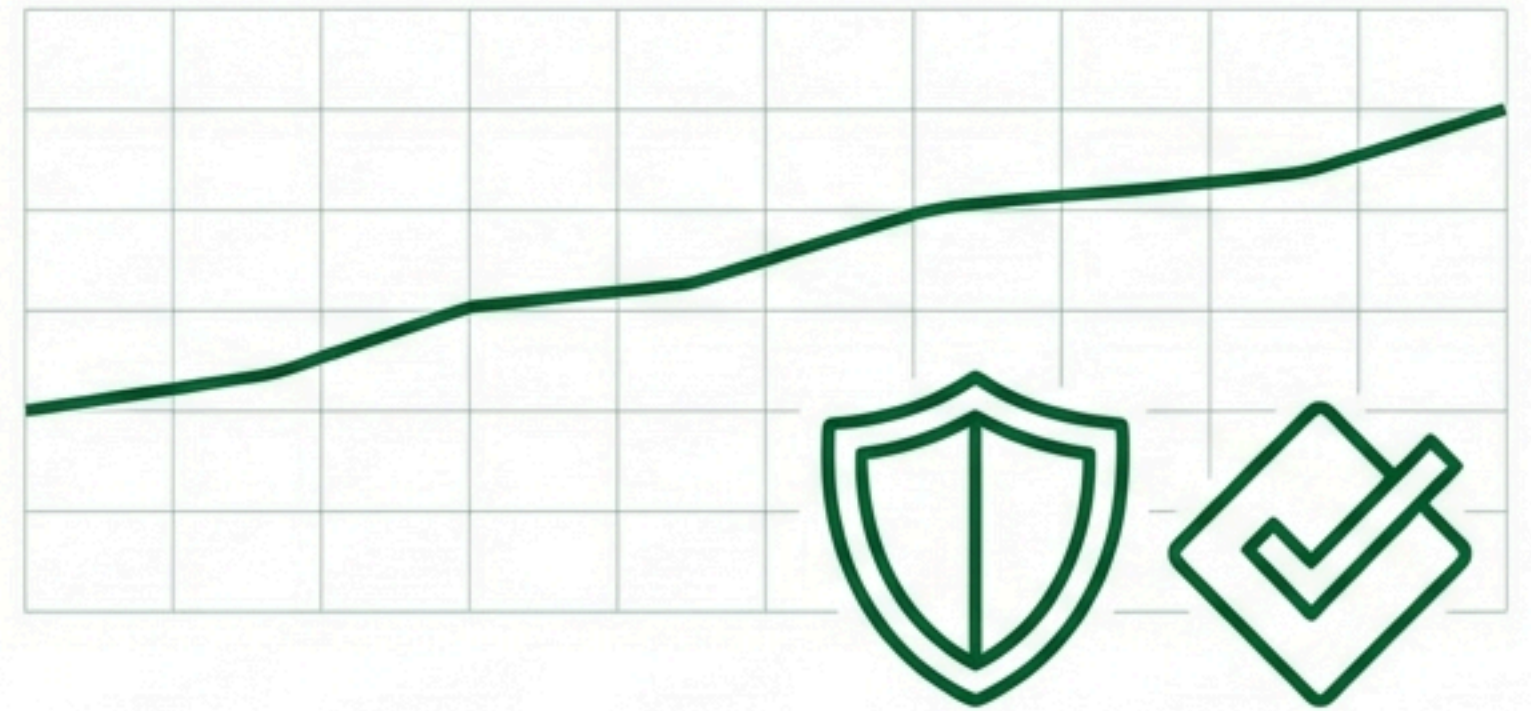
A quality-first brand cannot use price volatility as a growth hack

MASS Q-COMMERCE MODEL



- Primary Hook: Price & Speed
- Strategy: High Volatility & Flash Sales
- Outcome: Impulse Conversion

FIRSTCLUB QUALITY MODEL



- Primary Hook: Quality & Curation
- Strategy: Consistency & Signaling
- Outcome: Basket Reliability

Pricing decisions balance five competing forces at once



A pricing engine is only as good as the signals it trusts



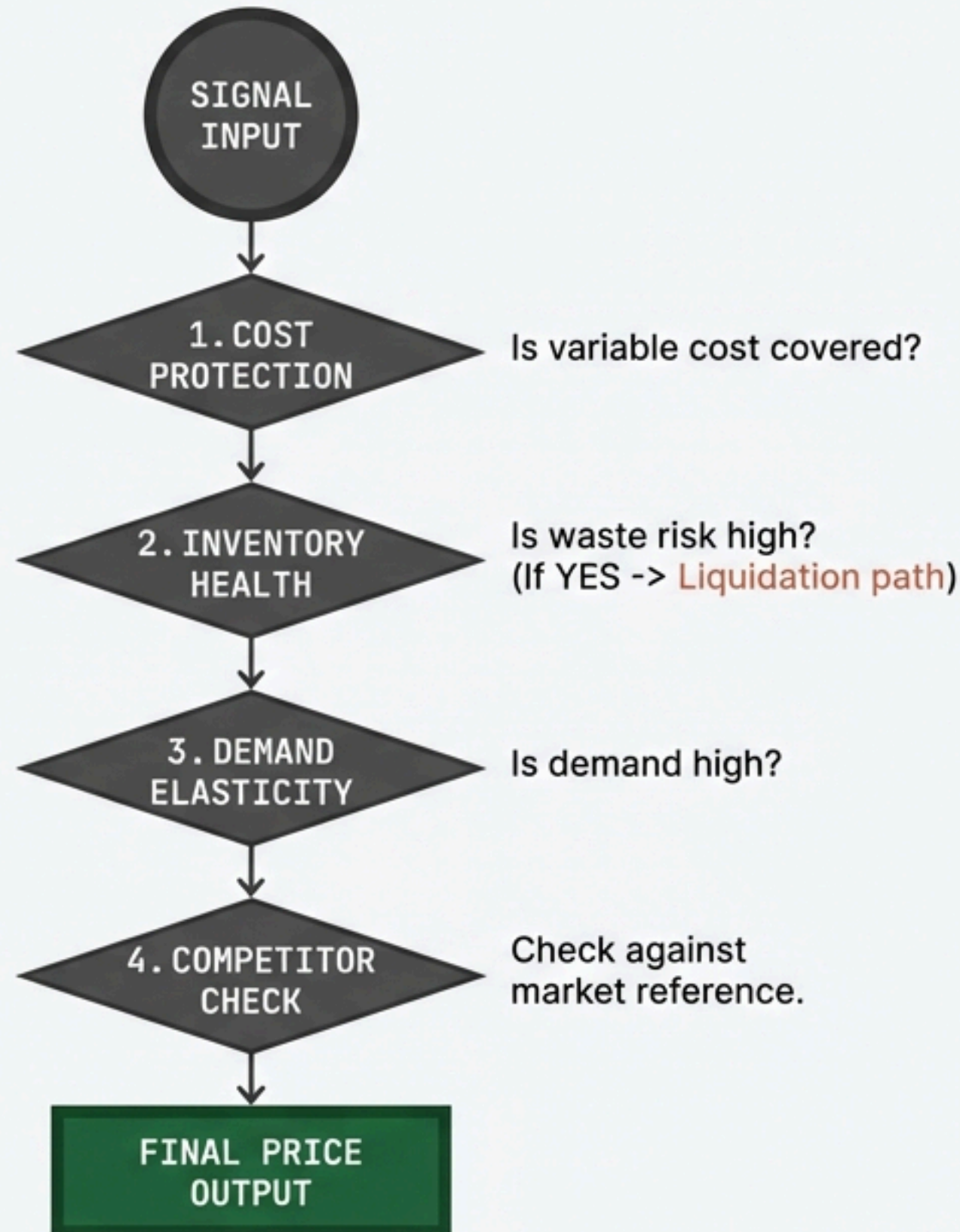
FACTORS & SIGNALS

NON-NEGOTIABLE PRICING LAWS

(What the engine is NOT allowed to do)

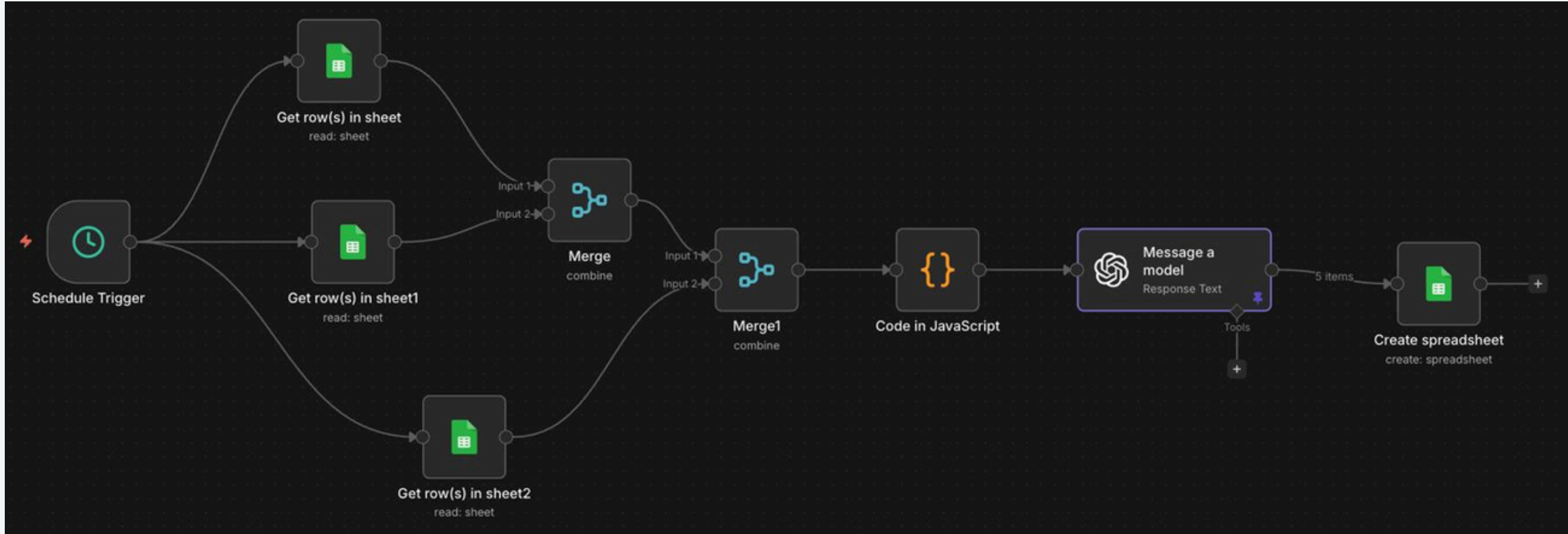
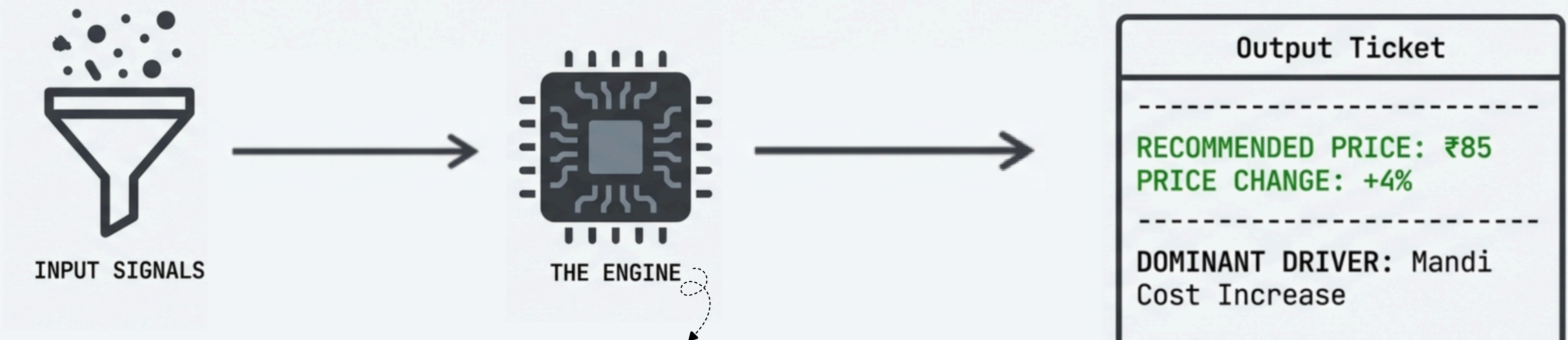
- **Cap price movement per SKU** - Max % change within a fixed time window
- **Protect trust-critical SKUs** - No aggressive discounts on core quality items
- **Never breach margin floor** - Minimum contribution is inviolable
- **Force human approval for edge cases** - Large moves, new SKUs, abnormal inventory
- **Explain every price change** - Reason + dominant signal required

Not all signals are equal — pricing needs order of precedence



THE BUILDER'S RULE:
Competition informs the price; it does not control it. We follow the market only when it aligns with our inventory and cost logic.

Automation should produce a price and a rationale



Output Ticket

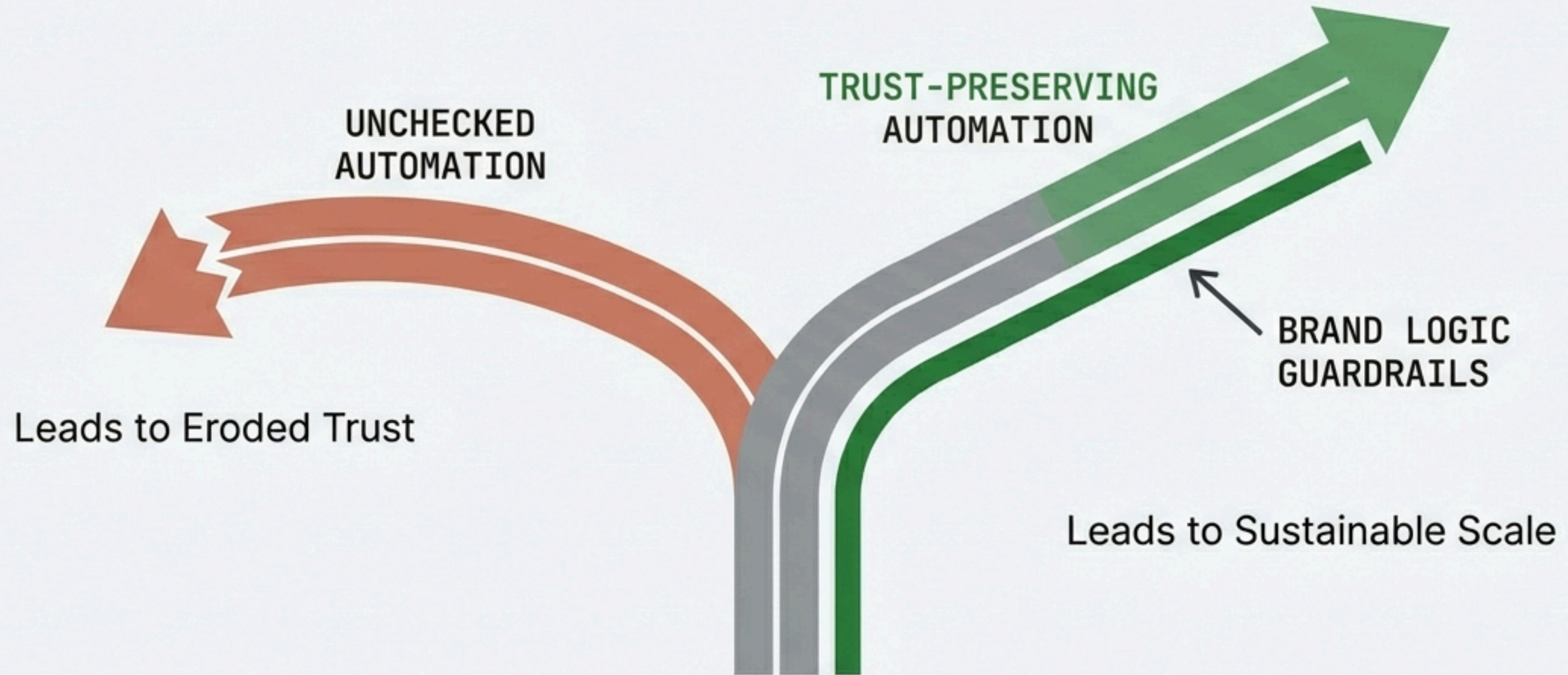
RECOMMENDED PRICE: ₹85
PRICE CHANGE: +4%

DOMINANT DRIVER: Mandi
Cost Increase

RATIONALE: Adjusted to
protect margin floor
while maintaining
competitiveness.

CONFIDENCE LEVEL: 92%

Can FirstClub automate pricing without automating distrust?



We build the engine to serve the brand, not the other way around.